



Figure 4.3

strategy that trades every period. Long-horizon investing is not to buy and hold; long-horizon investing is a continual process of buying and selling.

There is much confusion in practice about this issue. The World Economic Forum, for example, defined long-term investing as “investing with the expectation of holding an asset for an indefinite period of time by an investor with the capability to do so.”³ Long-horizon investors could, but in almost no circumstances will, buy and hold an asset forever. They dynamically buy and sell those assets over time.

The buy-and-hold confusion is also partly due to the popular sentiment generated by Jeremy Siegel’s famous book, *Stocks for the Long Run*, first published in 1994. This book is often described as the “buy-and-hold bible.”⁴ Siegel makes a case for sticking to a long-run allocation to equities. If this allocation is constant, then it is maintained by a constant rebalancing rule. Investors increase their share of equities after equities have done poorly to maintain this long-run, constant share. Long-run investors never buy and hold; they constantly trade.

Long-Term Investing Is Short-Term Investing

Another popular misconception about long-term investing is that by having a long-term investment horizon, long-run investors are fundamentally different from myopic, short-term investors. Some, like Alfred Rappaport (2011), suggest that long-run investors should act totally differently from short-term investors. The dynamic programming solution shows this to be blatantly false. Dynamic programming solves the long-horizon portfolio choice problem as a series of short-term investment problems. That is, *long-run investors are first and foremost short-run investors*. They do everything that short-run investors do, and they can do more because they have the advantage of a long horizon. The effect of the long horizon enters through the indirect utility in each one-period optimization problem (see equation (4.11)). I am not suggesting that long-run investors should engage in “short termism,” the myopic behavior that often befalls short-term corporate managers and short-term investors.⁵ The dynamic programming solution

³ World Economic Forum, 2011, *The Future of Long-Term Investing*, p. 13.

⁴ As James K. Glassman of the *Washington Post* says of the second edition of Siegel’s book.

⁵ Jeremy Stein (1988) and other authors show that short-termism can arise as a rational response to incentives and leads to underinvestment and misvalued firms.